Joint Venture Agreement

Between BP p.l.c. and Petróleo Brasileiro S.A. (Petrobras)

Date: 12 April 2018

Recitals

Whereas, BP p.l.c. (hereinafter referred to as "BP") and Petróleo Brasileiro S.A. (hereinafter referred to as "Petrobras") have entered into a strategic alliance to explore joint projects and potential commercial agreements in various areas of mutual interest; and

Whereas, the parties intend to form a joint venture company (hereinafter referred to as the "Company") to carry out the activities outlined in the strategic alliance; and

Whereas, the parties wish to set forth their respective rights, obligations, and governance of the Company through this Joint Venture Agreement.

1. Formation of the Company

1.1 The parties agree to form the Company in accordance with the laws of the State of Rio de Janeiro, Brazil.

1.2 The name of the Company shall be "BP-Petrobras Energy Ventures Ltd."

2. Purpose and Business of the Company

2.1 The purpose of the Company is to engage in the following business activities:

- Upstream activities including exploration and production of oil and gas.
- Downstream activities including refining, marketing, and distribution of petroleum products.
- Trading activities including the buying and selling of crude oil, refined products, and other energy commodities.
- Low carbon initiatives including renewable energy projects, biofuels, and carbon capture and storage.

3. Share Capital and Contributions

3.1 The initial share capital of the Company shall be 10,000,000 Brazilian Reals (BRL), divided into 1,000 shares of 10,000 BRL each.

3.2 BP and Petrobras shall subscribe for and hold the following number of shares:

- BP: 500 shares
- Petrobras: 500 shares

3.3 Each shareholder shall make the following contributions to the Company:

- BP: A cash contribution of 5,000,000 BRL and technology transfer related to upstream activities.
- Petrobras: A cash contribution of 5,000,000 BRL and technology transfer related to downstream activities.

4. Management and Governance

4.1 Board of Directors

4.1.1 The Company shall be managed by a Board of Directors consisting of 6 members.

4.1.2 BP and Petrobras shall each appoint 3 directors to the Board.

4.1.3 The Board shall meet at least 4 times per year.

4.2 Chairman of the Board

4.2.1 The Chairman of the Board shall be appointed by mutual agreement of the shareholders. The initial Chairman shall be Pedro Parente from Petrobras.

4.3 Decision-Making

4.3.1 Decisions of the Board shall be made by a simple majority vote, except for the following matters which shall require a unanimous vote:

- Amendments to this Agreement
- Winding up of the Company
- Any other matter specified in this Agreement

4.4 Executive Management

4.4.1 The Company shall have a Chief Executive Officer (CEO) and other executive officers as determined by the Board.

4.4.2 The CEO shall be appointed by mutual agreement of the shareholders. The initial CEO shall be Bob Dudley from BP.

5. Profit and Loss Sharing

5.1 Profits and losses of the Company shall be shared between the shareholders in proportion to their respective shareholdings.

6. Distribution of Profits

6.1 The Company shall declare and pay dividends to the shareholders in proportion to their respective shareholdings, subject to the approval of the Board.

6.2 The Board may decide to retain a portion of the profits for reinvestment in the Company.

7. Transfer of Shares

7.1 No shareholder may transfer its shares without the prior written consent of the other shareholder.

7.2 In the event of a proposed transfer, the transferring shareholder shall first offer the shares to the other shareholder at a fair market value to be determined by mutual agreement or by an independent valuation.

8. Confidentiality

8.1 Each shareholder agrees to keep confidential all information relating to the business and affairs of the Company, except where disclosure is required by law or regulatory authority.

9. Dispute Resolution

9.1 Any disputes arising out of or in connection with this Agreement shall be resolved through negotiation between the parties.

9.2 If the dispute cannot be resolved through negotiation within 30 days, it shall be referred to mediation.

9.3 If the dispute cannot be resolved through mediation, it shall be finally resolved by arbitration in accordance with the rules of the International Chamber of Commerce (ICC), and the seat of arbitration shall be Rio de Janeiro, Brazil.

10. Termination

10.1 This Agreement may be terminated by mutual agreement of the shareholders.

10.2 In the event of termination, the Company shall be wound up in accordance with the laws of the State of Rio de Janeiro, Brazil, and the assets shall be distributed to the shareholders in proportion to their respective shareholdings.

11. Miscellaneous

- **Governing Law:** This Agreement shall be governed by and construed in accordance with the laws of the State of Rio de Janeiro, Brazil.
- **Amendments:** Any amendments to this Agreement must be made in writing and signed by both shareholders.
- **Entire Agreement:** This Agreement constitutes the entire agreement between the parties and supersedes all prior agreements and understandings, whether written or oral, relating to the subject matter hereof.

- **Severability:** If any provision of this Agreement is held to be invalid or unenforceable, the remaining provisions shall continue in full force and effect.
- **Notices:** Any notices required or permitted under this Agreement shall be in writing and shall be deemed to have been duly given if delivered personally, sent by registered mail, or sent by email to the addresses set forth below, or to such other address as a party may specify by notice to the other party.

Signatures

For and on behalf of BP p.l.c.:

_____

Name: Bob Dudley

Title: Chief Executive Officer

Date: 12 April 2018

For and on behalf of Petróleo Brasileiro S.A.:

_____

Name: Pedro Parente

Title: President

Date: 12 April 2018